

# Construction Spending Ends 2025 with Signs of Stabilization

## Residential Gain Offsets a Nonresidential Decline

Economic Indicator

Economist(s)



[Charlie Dougherty](#)

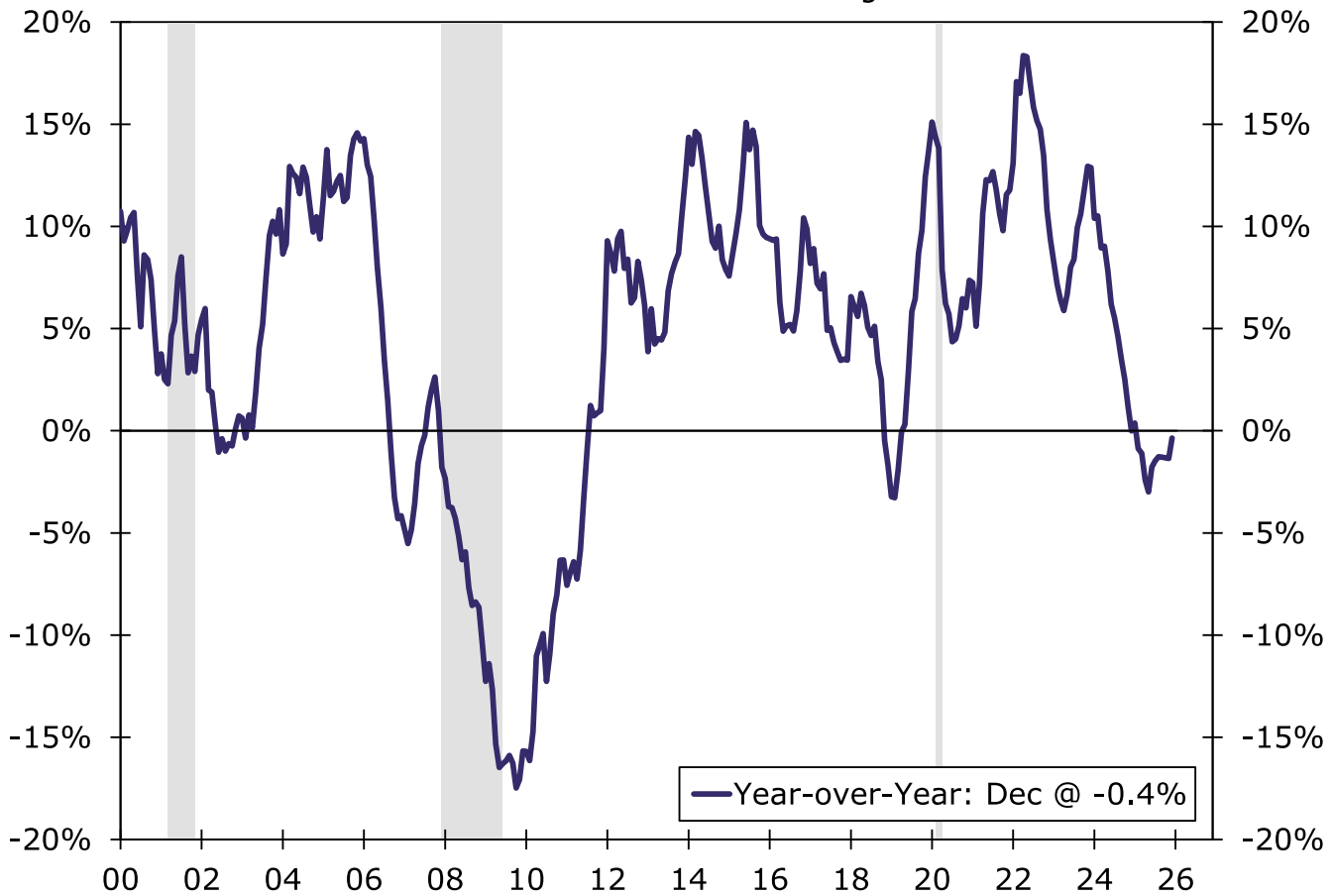


[Ali Hajibeigi](#)

- Total construction spending fell 0.2% in November and then rose 0.3% during December. On balance, residential outlays picked up in the last two months of the year, while nonresidential declined. At year-end, overall spending was down just 0.4% on a year-ago basis, an improvement from the sharper annual declines registered for much of 2025.
- Residential's modest turnaround at the end of the year was broad-based. Single-family, multifamily and home improvement outlays each notched improvement, consistent with recent indicators (housing permits and building material retail sales) showing similar stabilization.
- Private nonresidential dropped over the course of November and December, though some segments outperformed. Select "mega-project" categories such as data center, power and communication each trended up. Meanwhile, lodging, commercial, healthcare and manufacturing were drags on overall spend.
- Public outlays also dipped as sectoral declines in transportation, educational, water supply and sewage & waste disposal project outlays offset growth in highway & street and power construction.
- All told, the small gain in total construction spending at the end of 2025 is a welcome sign that lower interest rates are slowly supporting a broadening of new activity beyond data centers and other mega-projects. That said, construction spending is reported in nominal terms, and so it is challenging to distinguish between gains in real activity and the effects of rising construction costs.
- To that end, the Producer Price Index (separately released this morning) revealed that building cost inflation continues to glide higher. The construction material index was up 6.6% on a year-to-year basis in January, the strongest annual print since 2022.
- Meanwhile, the Architecture Billings Index (ABI) fell back in January. The ABI leads nonresidential spending by 9-12 months and has been stuck in contraction territory (below 50) since 2024. This is consistent with our expectation for structures investment to remain a drag on overall real GDP growth this year as new activity remains constrained by a high-cost environment, soft real estate fundamentals and economic uncertainty.

# Total Value of Construction Put-in-Place

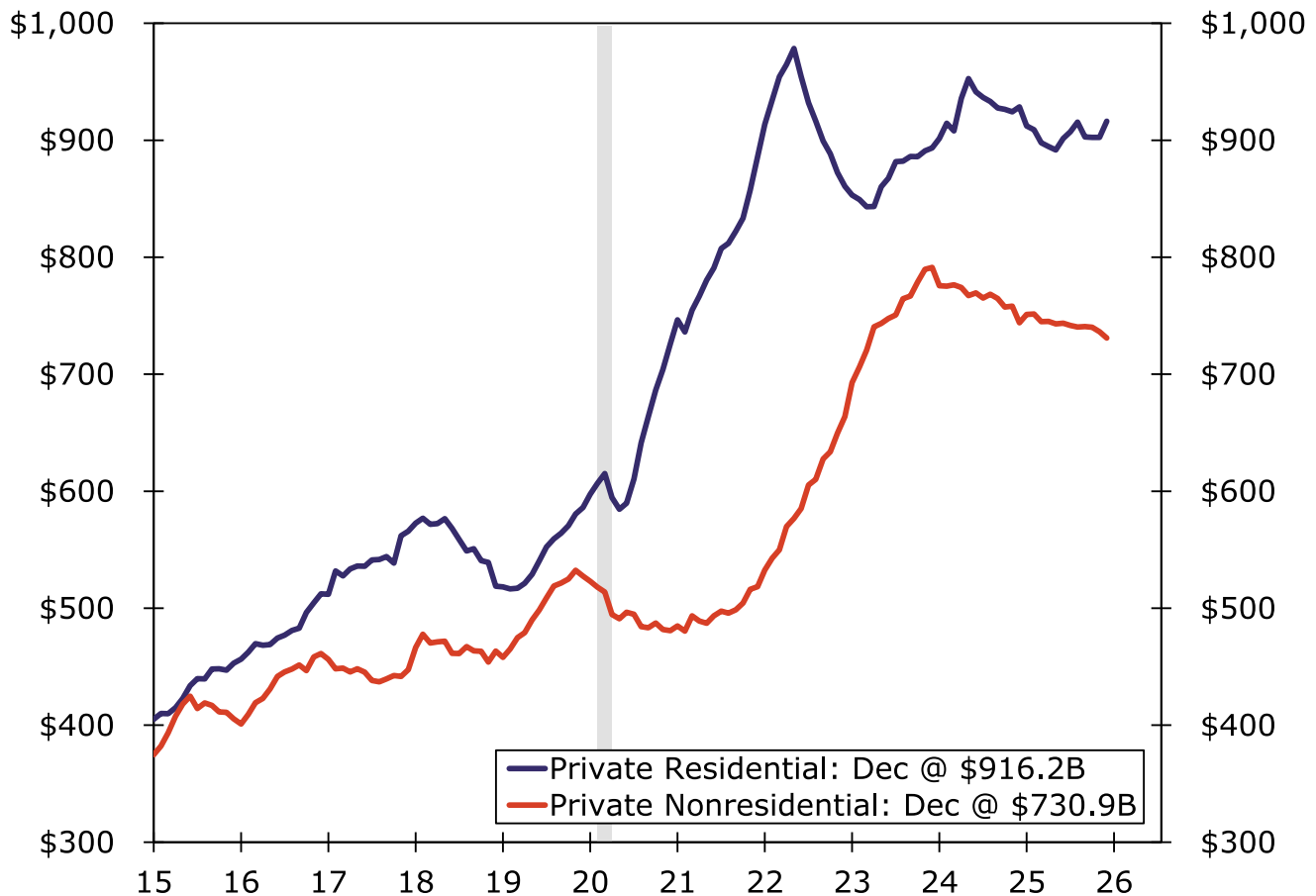
Year-over-Year Percent Change



Source: U.S. Department of Commerce and Wells Fargo Economics

# Private Construction Spending

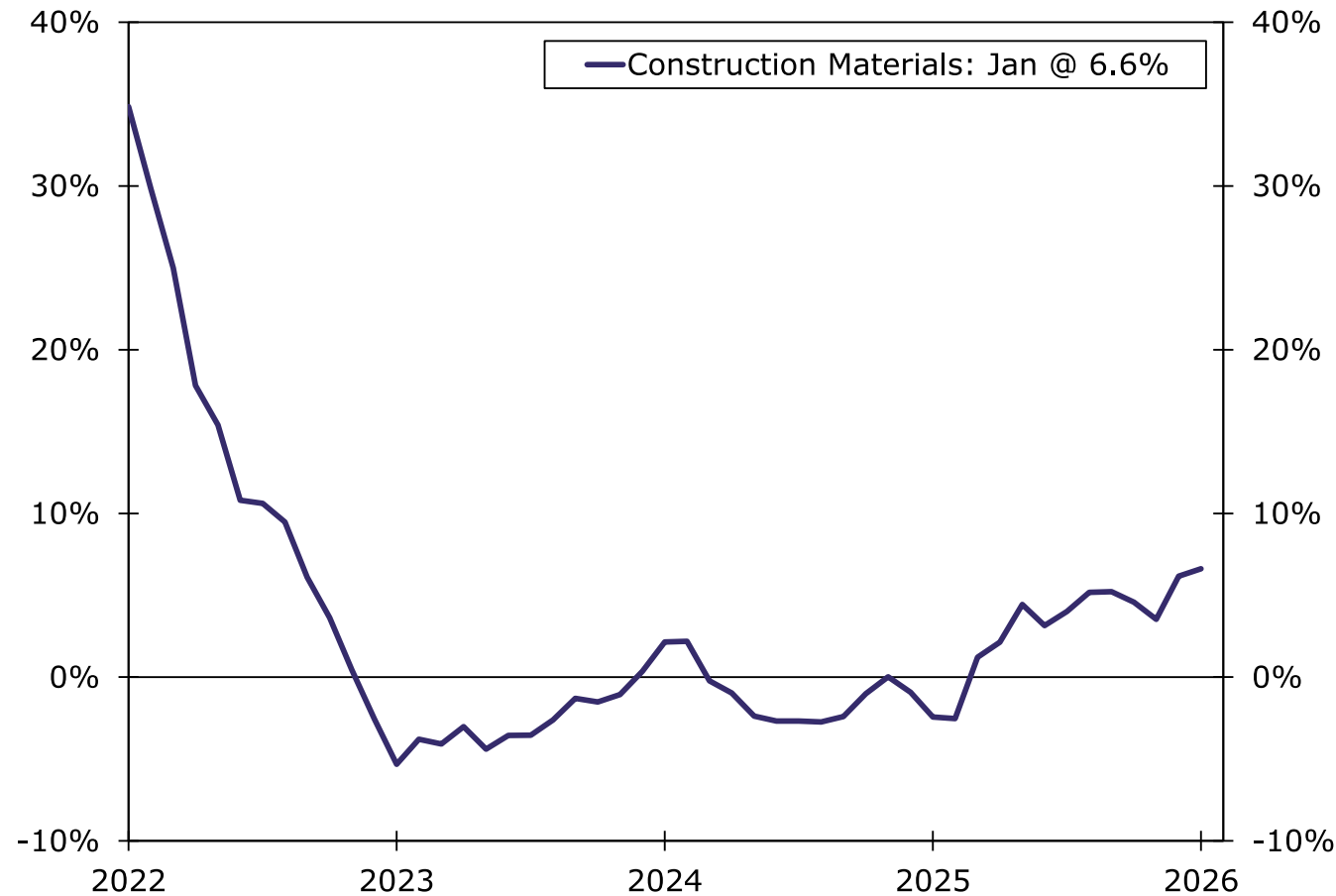
In Billions of Dollars



Source: U.S. Department of Commerce and Wells Fargo Economics

# Producer Price Index for Construction Materials

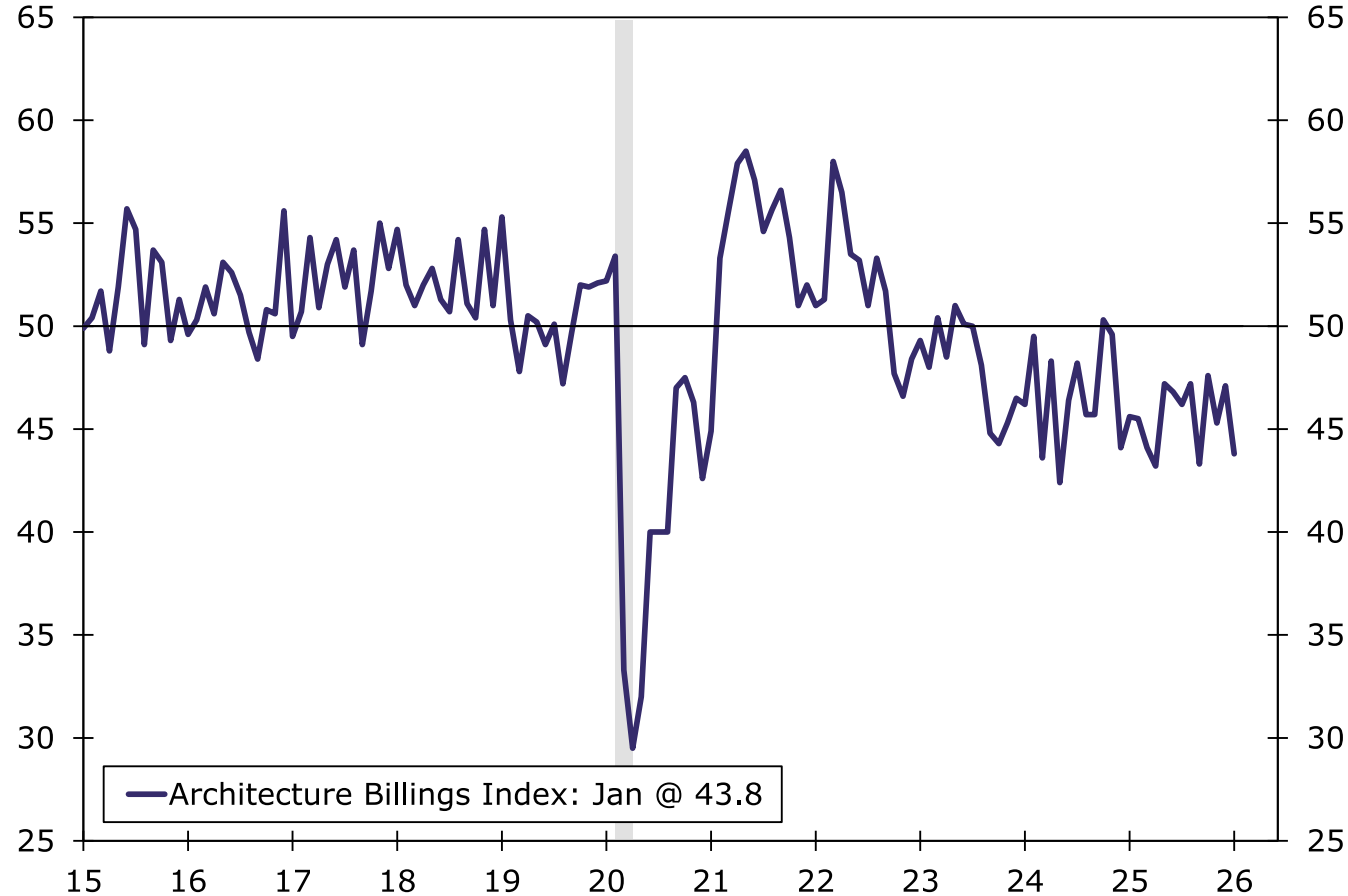
1982 = 100, Year-over-Year Percent Change, NSA



Source: U.S. Department of Labor and Wells Fargo Economics

# Architecture Billings Index (ABI)

Diffusion Index, Seasonally Adjusted



Source: American Institute of Architects and Wells Fargo Economics

Economics Group

|                   |                         |              |                                   |
|-------------------|-------------------------|--------------|-----------------------------------|
| Tom Porcelli      | Chief Economist         | 212-214-6422 | Tom.Porcelli@wellsfargo.com       |
| Tim Quinlan       | Senior Economist        | 704-410-3283 | Tim.Quinlan@wellsfargo.com        |
| Sarah House       | Senior Economist        | 704-410-3282 | Sarah.House@wellsfargo.com        |
| Aroop Chatterjee  | Senior Economist        | 212-214-8819 | Aroop.Chatterjee@wellsfargo.com   |
| Charlie Dougherty | Senior Economist        | 212-214-8984 | Charles.Dougherty@wellsfargo.com  |
| Michael Pugliese  | Senior Economist        | 212-214-5058 | Michael.D.Pugliese@wellsfargo.com |
| Brendan McKenna   | International Economist | 212-214-5637 | Brendan.Mckenna@wellsfargo.com    |
| Jackie Benson     | Economist               | 704-410-4468 | Jackie.Benson@wellsfargo.com      |
| Shannon Grein     | Economist               | 704-410-0369 | Shannon.Grein@wellsfargo.com      |
| Nicole Cervi      | Economist               | 704-410-3059 | Nicole.Cervi@wellsfargo.com       |
| Delaney Conner    | Economic Analyst        | 704-374-2150 | Delaney.Conner@wellsfargo.com     |
| Ali Hajibeigi     | Economic Analyst        | 212-214-8253 | Ali.Hajibeigi@wellsfargo.com      |
| Azhin Abdulkarim  | Economic Analyst        | 212-214-5154 | Azhin.Abdulkarim@wellsfargo.com   |
| Anagha Sridharan  | Economic Analyst        | 704-410-6212 | Anagha.Sridharan@wellsfargo.com   |
| Andrew Thompson   | Economic Analyst        | 704-410-2911 | Andrew.L.Thompson@wellsfargo.com  |

All estimates/forecasts are as of 2/27/2026 unless otherwise stated. 2/27/2026 12:08:43 EST.

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